City of Snoqualmie
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MEMORANDUM

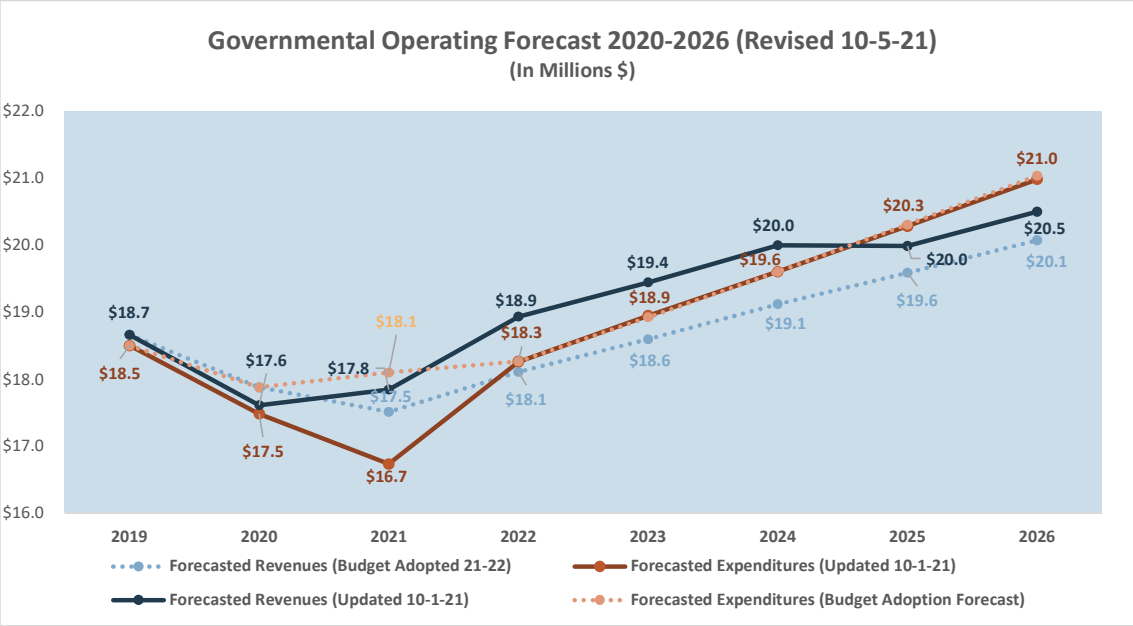
October 5, 2021

To: Finance and Administration Committee
From: Robert Hamud, Finance Director
Re: 2021-22 Mid-Biennial Review and Budget Projections

As of publication of this document in October 2021, the City of Snoqualmie is still recovering from the revenue impact of Covid-19 related closures and restrictions in 2020. The City, prior to the pandemic, was already facing the loss of potential revenues generated from the cancellation of the Salish Development in 2019 as well as the end of construction-related development with the completion of Snoqualmie Ridge Phase II. Because of the pandemic, the City ended 2020 with General Governmental operating revenues at $17.6 million, $1 million lower than the pre-covid estimate of $18.6 million.

With the recovery from the Covid-related closures underway, the City's General Governmental operating budget currently finds itself with improved fiscal health due to large expenditure reductions offsetting losses in revenue. This is a result of a hiring freeze imposed in 2020 and a freeze on spending for new initiatives. In 2021, a large amount of staff vacancies, as well as the rebounding of revenues such as the Sales Tax and Utility Tax from 2020 numbers, have assisted with the City's improved fiscal health. However, service levels within the City have been impacted. In addition, the City received its first "tranche" of American Rescue Plan Act (ARPA) funding in the amount of $1.9 million, with a second "tranche" of an equal amount expected in 2022.

Some uncertainty going forward for the City on the expenditure side includes ongoing labor negotiations with three bargaining units, the potential turnover of staff due to the implementation of the employee vaccine mandate in October 2021, as well as recently identified facilities, streets, and parks maintenance needs, above and beyond what was budgeted for in the 2021-22 Biennial Budget. The current level of vacancies within the City is unsustainable due to a noticeable drop in service levels, and expenditures will have to increase in future years to both close the gap in vacancies as well as restore service levels.



The City ended Fiscal Year (FY) 2020 with governmental operating revenues and expenditures largely in balance. Furthermore, the City is now projected to have surpluses each year through 2024. The projection for revenues in 2021 is $300K above what was initially forecasted for FY 2021. $500K of the projected annual revenues for 2021 are due to the recognition of ARPA funds each year beginning in 2021, as well as a $100K increase in Sales Tax revenues over the original projection, primarily due to increased Criminal Justice Sales Tax allocations received from the state.

Governmental operating expenditures are expected to end 2021 at $16.7 million, far under the projection of $18.1 million for the year including expenditures for the Human Services, Arts Activities, Fire Equipment and Sustainability funds. This drop was driven by significant vacancies in the City in 2021. There were also operational expenditure savings realized by the continued Covid crisis, such as the reduction in on-site staffing costs, the reduction in travel and training expenses, and a shortage of temporary seasonal hiring in Parks and Streets.

The City still expects expenditures to exceed revenues after the end of the ARPA funds in 2025. This is due to continued increases in labor costs as well as inflationary increases for services and supplies. However, with anticipated development and the projected impact of rate increases in City-owned and outside utilities such as electricity and solid waste, the Utility Tax is projected to grow above the originally forecasted amount starting in 2022.

GENERAL GOVERNMENT OPERATING-DETAILED REVENUE DISCUSSION

Governmental-Type Revenues 2020-2026

Revenue	Actual 2020	Projected 2021	Projected 2022	Projected 2023	Projected 2024	Projected 2025	Projected 2026
ARPA TRANSFER IN	$ -	$ 500,000	$ 500,000	$ 500,000	$ 500,000	$ -	$ -
Property Tax	$ 8,126,262	$ 8,223,810	$ 8,310,160	$ 8,397,417	$ 8,485,590	$ 8,574,688	$ 8,664,722
Sales & Use Tax/B&O	$ 3,060,152	$ 3,196,000	$ 3,584,427	$ 3,856,731	$ 4,165,270	$ 4,404,632	$ 4,658,451
Utility Tax	$ 2,410,645	$ 2,577,186	$ 2,729,895	$ 2,806,544	$ 2,886,233	$ 2,969,083	$ 3,055,221
All other Taxes	$ 7,850	$ 12,632	$ 12,885	$ 13,143	$ 13,405	$ 13,674	$ 13,947
Fines, Fees, Charges for Services (inc. CD)	$ 2,657,905	$ 2,337,561	$ 2,781,163	$ 2,838,691	$ 2,897,474	$ 2,957,538	$ 3,018,913
Intergovernmental (inc. Streets)	$ 1,350,761	$ 997,986	$ 1,015,225	$ 1,032,810	$ 1,050,746	$ 1,069,041	$ 1,087,702
Total "Governmental "Type Revenues	**$ 17,613,576**	**$ 17,845,175**	**$ 18,933,756**	**$ 19,445,335**	**$ 19,998,717**	**$ 19,988,656**	**$ 20,498,956**
*Excludes Cares Act Funding in 2020							

ARPA- The City is proposing to transfer $500K of ARPA funds to contribute to General Governmental operating budgets each year from 2021 to 2024. Since this money is unrestricted and intended to replace lost general governmental revenues due to the pandemic, it will appear as a transfer in.

Property Tax-The City is seeing Property Tax hold steady, with modest growth in the outer years due to the inclusion of anticipated development in the forecast. This forecast assumes that the City Council will approve the 1% annual levy increase each year.

Sales Tax and B&O - Sales Tax is experiencing a rebound from 2020, especially with small businesses in the City. Online sales are showing declines from 2020 due to the reopening of retail stores with fewer restrictions than the previous year. Lodging revenues are mixed within the City, with growth in some properties and stagnation and decreases in others. B&O showed increases in 2020 due to increased collections with the implementation of the File Local online filing system.

Utility Tax: Utility usage has increased in 2021 due to increased business activity and the return to work. As mentioned before, approved water, sewer, and stormwater increases taking effect in 2022 will also contribute to Utility Tax growth as well should outside utility rate increases in electricity, gas, and solid waste. This is a primary driver of overall revenue increases for the forecast period which is above and beyond the $500K in ARPA funding annually through 2024.

Fines, Fees, and Charges for Service: Community Development revenues have decreased in 2021 with less activity than in 2020. This downward trend is expected to be short-lived with development activity expected to begin in 2022.

Intergovernmental revenues included a one-time grant in 2020 to convert streetlights to LED bulbs. The Gas Tax has seen a rebound from 2020 and liquor revenue allocations have trended upward.

GENERAL GOVERNMENT OPERATING-DETAILED EXPENDITURE DISCUSSION

Governmental Type Operating Expenditures 2020-2026

Fund Type	Actual 2020	Estimated 2021	Estimated 2022	Projected 2023	Projected 2024	Projected 2025	Projected 2026
Administrative Departments	$ 3,602,481	$ 3,672,652	$ 3,919,309	$ 4,069,995	$ 4,212,445	$ 4,359,881	$ 4,512,476
Police	$ 4,419,226	$ 4,864,964	$ 4,946,962	$ 5,120,106	$ 5,299,309	$ 5,484,785	$ 5,676,753
Fire & Emergency Management	$ 3,246,776	$ 3,290,204	$ 3,556,152	$ 3,708,992	$ 3,838,806	$ 3,973,165	$ 4,112,225
Parks Operations & Maintenance	$ 1,999,631	$ 1,707,577	$ 1,878,516	$ 1,944,264	$ 2,012,313	$ 2,082,744	$ 2,155,640
Streets Operations & Maintenance	$ 1,316,893	$ 916,887	$ 1,055,000	$ 1,103,917	$ 1,142,554	$ 1,182,543	$ 1,223,932
Non-Departmental Operating(Art, Sustainability, Misc.)*	$ 113,589	$ 166,281	$ 169,607	$ 172,999	$ 176,459	$ 179,988	$ 183,588
Court, Public Defender, Prosecutor, HR Legal Services	$ 314,614	$ 324,500	$ 330,990	$ 337,610	$ 344,362	$ 351,249	$ 358,274
Human Services	$ 232,287	$ 232,287	$ 232,287	$ 240,417	$ 248,832	$ 257,541	$ 266,555
Community Development & Building General Expenditures	$ 1,556,193	$ 1,201,171	$ 1,490,960	$ 1,546,559	$ 1,604,207	$ 1,663,978	$ 1,725,950
Developer-Reimbursed Expenditures	$ 683,126	$ 360,934	$ 683,126	$ 703,620	$ 724,728	$ 746,470	$ 768,864
Total "Governmental-Type" Expenditures	**$ 17,484,816**	**$ 16,737,457**	**$ 18,262,908**	**$ 18,948,478**	**$ 19,604,016**	**$ 20,282,344**	**$ 20,984,258**

*Non-departmental operating expenditures exclude an annual support transfer to Community Development and includes funding for Art and Sustainability programs, citywide memberships and dues, citywide training and studies as required, employee recognition events and the volunteer event. Does not include appropriated fund balance transfers.

** Chart excludes CARES act expenditures in 2020.

General governmental expenditures are expected to come in at $16.7 million in 2021, which is below the forecasted amount of $18.1 million. This is due in large part to staff vacancies, which as of October 2021, account for approximately 15% of the workforce. Also, service reductions due to staff shortages, especially in Parks and Public Works, have contributed to the reduced forecast.

This forecast does not account for any future action by Council to restore items reduced in the 2020 budget with ARPA funds.

Administrative Departments: With significant vacancies for a portion of the year in key positions, the forecast is essentially flat from the previous year with only a slight increase for the resumption of some in-person City activities and functions in 2021.

Police: The forecast factors in staff vacancies with offsetting increases in overtime. Future years assume a restoration of fully staffed levels and annual increases for staff expenses and operations.

Fire and Emergency Management: The forecast factors in vacancies and staff changes in 2021 and a resumption of fully staffed activities in 2022. The impact of Fire Chief Correira being charged to the City Administration for his duties as Interim City Administrator is also factored into the 2021 forecast.

Parks Operations and Maintenance: The Parks Division hired only one of two seasonal employees this year, which reduced expenses both for personnel and for operations. The continuation of a stop-gap maintenance contract also contributed to lower than anticipated expenditures, but did result in a reduction of service levels compared to previous years.

Streets Operations and Maintenance: Some maintenance projects such as the crack-sealing of Snoqualmie Parkway were moved into the Transportation Capital Fund.

Non-Departmental budgets including outside legal and prosecutorial services reflected contract increases. Human service expenditures from the General Fund were held at 2020 levels in the budget; this number does not account for ARPA nor CARES Act funding.

Community Development saw a significant decrease from 2020 due to less development activity as well as staff vacancies. The department is estimated to have increased expenditures over the next five years beginning in 2022 due to anticipated development activity within the City.

ENTERPRISE OPERATING FUNDS

The following are the total revenues and expenditures for the Enterprise Funds:

Enterprise Fund Revenues FY 2021-22

Category	2020 Actual	2021 Projected	2022 Projected
Water	$ 4,582,586	$ 4,581,533	$ 4,866,571
Wastewater	$ 6,395,784	$ 6,514,719	$ 6,884,734
Stormwater	$ 2,436,630	$ 2,576,360	$ 2,705,178
Total Utilities Maintenance and Operations	**$ 13,415,000**	**$ 13,672,612**	**$ 14,456,482**

Enterprise Fund Operating Expenditures FY 2021-22

Category	2020 Actual	2021 Projected	2022 Projected
Water	$ 2,767,965	$ 2,639,729	$ 2,994,115
Wastewater	$ 3,046,850	$ 2,873,282	$ 2,981,031
Stormwater	$ 828,303	$ 1,122,177	$ 1,351,681
Total Utilities Maintenance and Operations	**$ 6,643,118**	**$ 6,635,188**	**$ 7,326,827**

The expenditures exclude transfers out and are within appropriated amounts.

INTERNAL SERVICE FUND EXPENDITURES

Internal Service Funds

Category	Actual 2020	Projected 2021	Projected 2022
Equipment Repair and Replacement	$ 1,286,626	$ 1,387,913	$ 1,450,000
Facilities	$ 543,352	$ 394,274	$ 535,000
Risk Management Fund	$ 527,778	$ 563,000	$ 574,260
Central/Shared Services	$ 472,255	$ 439,200	$ 460,000
IT	$ 2,071,375	$ 1,504,079	$ 1,659,445
Total Other Major Funds	**$ 4,901,386**	**$ 4,288,466**	**$ 4,678,705**

All Internal service funds, with the exception of Risk Management, are estimated to come within the 2021-22 budget appropriation. Administration will recommend a budget amendment for the Risk Management Fund to better account for the annual expenses of the fund including staff charge outs and liability claims payments and deductibles.

A change to the budgeting of these funds from past years is that any staff charges towards a capital project, such as the Enterprise Replacement System, will come from capital and not operating funds.